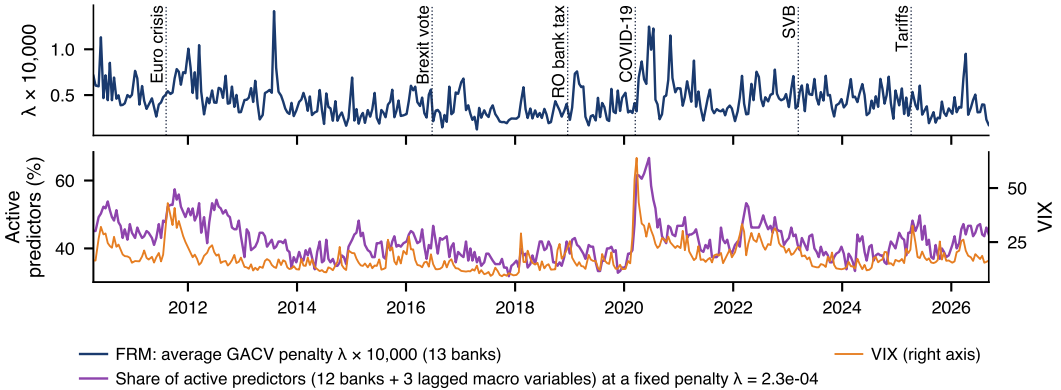
λ × 10,000
1.0
0.5
Euro crisis
Brexit vote
RO bank tax
COVID-19
SVB
Tariffs
Active predictors (%)
60
40
VIX
50
25
2012
2014
2016
2018
2020
2022
2024
2026
FRM: average GACV penalty λ × 10,000 (13 banks)
VIX (right axis)
Share of active predictors (12 banks + 3 lagged macro variables) at a fixed penalty λ = 2.3e-04